

Legal and Ethical Issues in Computing

Who are stakeholders?

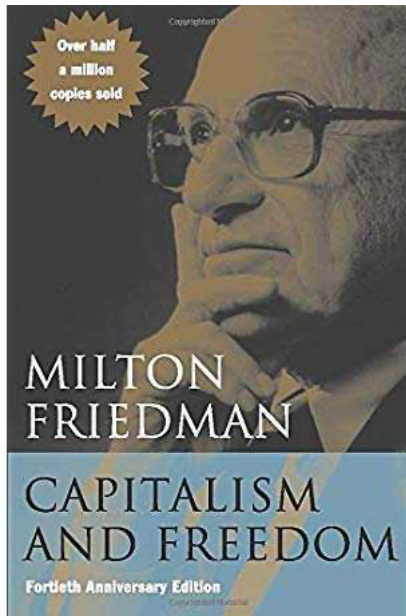
- Mostly discussed in the context of business ethics.
- Stakeholders are broadly defined as anyone who is impacted by a decision-maker's decision.
- Some examples of corporate stakeholders would be shareholders, employees, customers, suppliers, financiers, families of employees and the community in which the corporation is located.
- Stakeholders could also be less directly related to the operations of a corporation.

Ethical dilemma and stakeholders

- Identification of potential stakeholders is essential for ethical behavior, and failure to identify stakeholders has led many to make unethical decisions without ever realizing they had a moral dilemma in the first place.
- E.g., Profit vs. low wage
- E.g., Production vs. pollution

- Uber is one of Silicon Valley's biggest success stories.
- The company is valued at close to \$70 billion by private investors and now operates in more than 70 countries.

Milton Friedman



American Economist

- 1976 Nobel in Economics

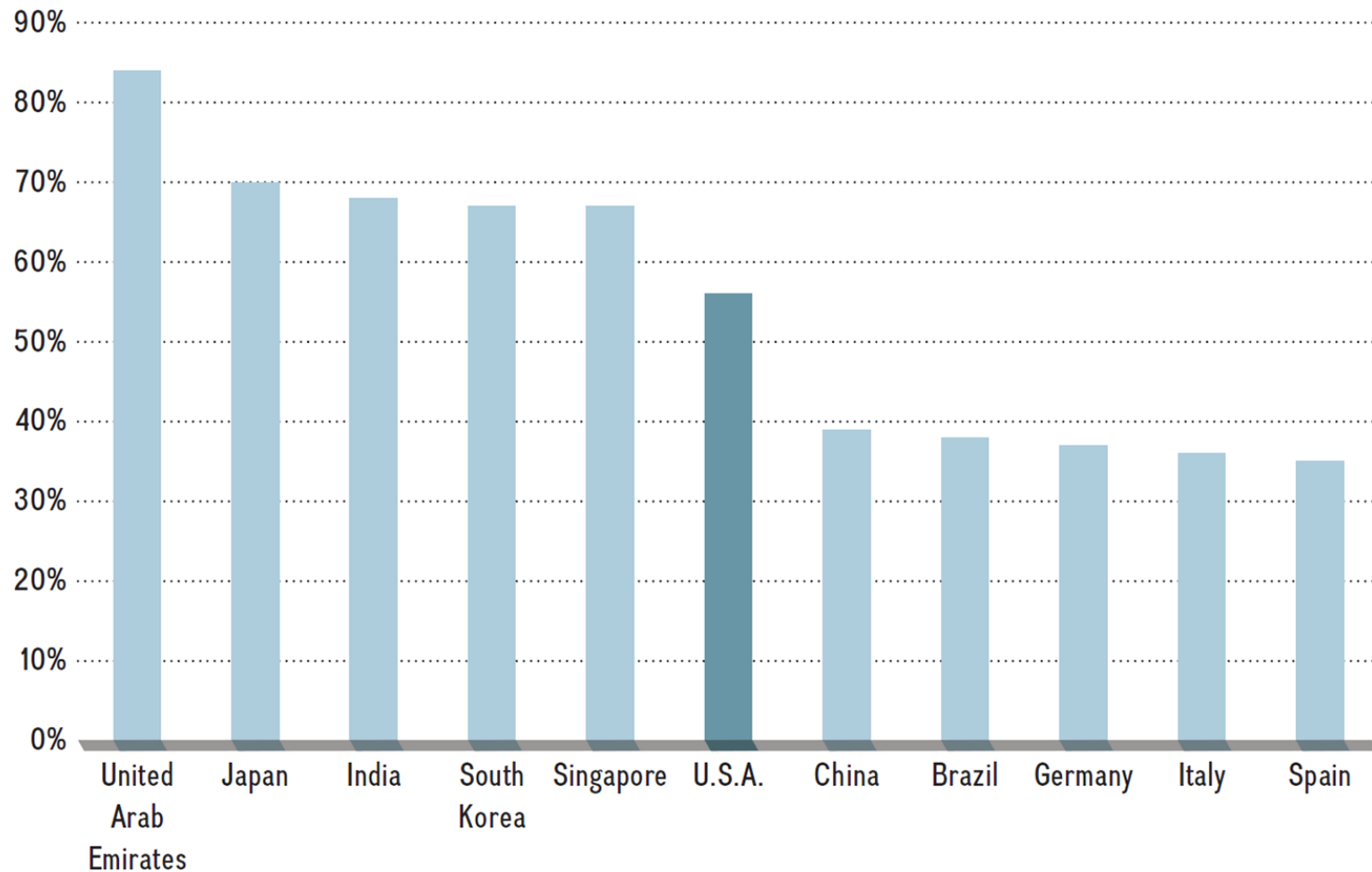
1962 book: “Capitalism and Freedom”

- The book focuses on the connection between economic freedom, political freedom, and the important impact this connection has on an economy

Milton Friedman's Philosophy

- “The social responsibility of business is to increase its profits.”
- A survey asked the top 25 percent of income earners holding a university degree in each country surveyed whether they agree with Milton Friedman's philosophy.
- The results...

Percent of “Informed Public” Who “Strongly/Somewhat Agree” with Milton Friedman



SOURCE: Author’s depiction of data from Edelman’s (2011) Trust Barometer as included in “Milton Friedman goes on tour,” The Economist, January 27, 2011.

[Jump to Appendix 3 long image description](#)



The Shared Value Creation Framework

- Michael Porter argues that executives should not concentrate exclusively on increasing firm profits.
- Rather, the strategist should focus on creating shared value, a concept that involves:
 - Creating economic value for shareholders
 - Creating social value by addressing society's needs and challenges

The Shared Value Creation Framework

- It is a model proposing that managers have a dual focus on:
 - Shareholder value creation
 - Value creation for society
- Example: GE's ecomagination initiative
 - To provide cleaner and more efficient sources of energy
 - To provide abundant sources of clean water anywhere in the world
 - To reduce emissions

Michael Porter's Recommendations to Reconnect Economic & Societal Needs

1. Expand the customer base

- Bring in nonconsumers such as those at the bottom of the pyramid (large / poor socioeconomic group).

2. Expand traditional internal firm value chains.

- Include more nontraditional partners such as nongovernmental organizations (NGOs).

3. Focus on creating new regional clusters:

- Such as Silicon Valley in the United States
- Electronic City in Bangalore, India
- Chilecon Valley in Santiago, Chile



Strategy and Business Ethics

- An agreed-upon code of conduct in business, based on societal norms
- Lay the foundation and provide training for:
 - “behavior that is consistent with the principles, norms, and standards of business practice that have been agreed upon by society”
- Can differ in various cultures around the globe
 - Universal norms include:
 - Fairness
 - Honesty
 - Reciprocity

When Facing an Ethical Dilemma

- Ask whether the intended course of action falls within the acceptable norms of professional behavior.
 - As outlined in the organization's code of conduct
 - As defined by the profession at large
- Would you feel comfortable explaining and defending the decision in public?
 - How would the media report the business decision if it were to become public?
 - How would the company's stakeholders feel about it?

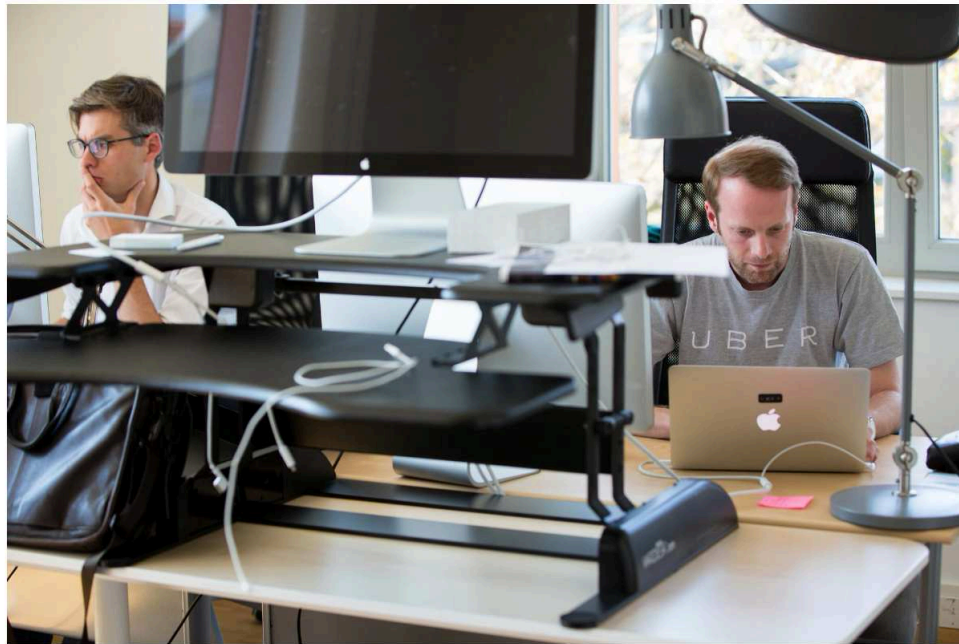
Ethical Leadership is Critical

nytimes.com/2017/02/22/technology/uber-workplace-culture.html

TECHNOLOGY

The New York Times

Inside Uber's Aggressive, Unrestrained Workplace Culture



Uber offices in Berlin last year. Some current and former Uber employees describe a largely unrestrained workplace culture. Krisztian Bocsi/Bloomberg

Ethical Leadership Is Critical

- Strategic leaders set the tone for the ethical climate within an organization.
 - Employees take cues from their environment on how to act.
- CEOs of Fortune 500 companies are under constant public scrutiny.
 - Ought to adhere to the highest ethical standards
 - Unethical behavior can destroy the CEO's reputation.
- Ethical expectations must be clear.
- Management must provide.

- Does Facebook have an ethical responsibility to curb the spread of misinformation and disinformation and provide corrections when people do share these type of content?